

It's incredible. You see months where the stock lost 20 percent in a month, a few where it lost even more. And you see months where the stock jumped 20 percent or more. In at least a few instances, these moves were back to back.

Now, you know the business of Monster did not change anything like that much in any of those months. We're talking about a maker of beverages. You can also see on the far right-hand side that even with all the movement, the stock marched up and to the right most of the time.

Think about all those times, however, when the stock took a 20+ percent dive. How often would you have been watching it, day after day?

How likely is it you would have sold it? Maybe after a 20 percent drop, you'd have decided to get out at the next opportunity. Then you'd have sold after a good month.

All that intense watching and hand-wringing would have been a waste of time. The attempt to trade it would have been a mistake. Monster was a fantastic stock and you should have left it alone.

Another temptation is to get too concerned over where the stock market is going.

The big-picture crowd loves to analyze stock market indices, such as the S&P 500. They love to cite CAPE ratios (price divided by an average of the past 10 years of earnings) and other metrics to divine the path of future returns.

Just because a stock market index, such as the S&P 500, is pricey doesn't mean you should give up on stocks. Unless you are a buyer of the index itself, it is not relevant to the business of finding great stocks today.

Let me give you a historical example: 1966 to 1982.

The big-picture crowd likes to cite this 17-year stretch as dead money for stocks. The Dow Jones Industrial Average basically went nowhere. (This performance was worse than it appears because inflation was high during this period.) Thus, you might conclude, you didn't want to be in stocks.

But here's what my research on stocks that returned 100 to 1 found: there were 187 stocks you could've bought between 1966 and 1982 that